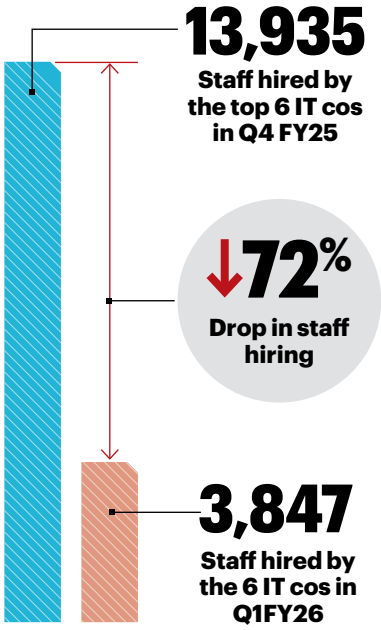
THE BIG CUTS

The turbulence in the IT sector is prodding companies to slash workforce

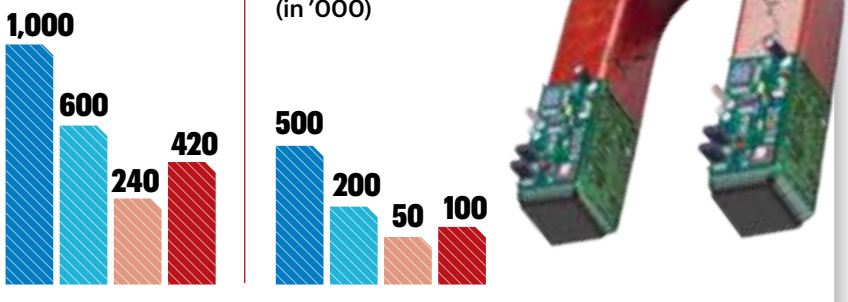


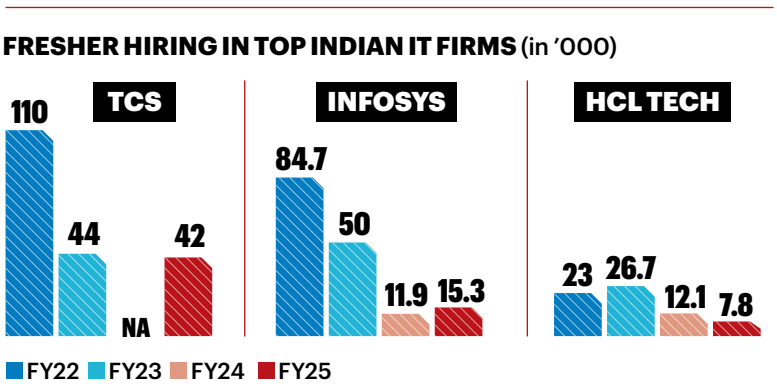


Source: Earnings statements of IT firms

HOW HIRING SLOWED

IT firms, which added 1 million to their workforce in FY22, added fewer staff in most of the subsequent years due to geopolitical pressures and an AI-led tech churn





Note: only permanent employees are considered; NA: not available
Source: BT Research; XPheno

firms reported a sequential decline in revenue in the final quarter of FY25, a first since the COVID-affected June 2020 quarter. Margins across the board are under pressure, as intense competition forces companies to lower prices. Geopolitical and geo-economic uncertainties have led clients to pause their IT budgets, further straining the businesses of Indian IT companies in FY26. Analysts foresee retail, consumer, logistics, travel and manufacturing bearing the brunt of US tariffs, rendering them highly vulnerable to project delays, cancellations and cuts in discretionary spending. It is beginning to show in the market capitalisation of top IT companies. TCS's m-cap fell by 28 per cent to Rs 11 lakh crore as on August 4, 2025, from Rs 15.5 lakh crore a year ago, while Infosys saw a decline of nearly 19 per cent in the same period (see *An Ill Wind*).

The sector has indeed come a long way since visionaries like N.R. Narayana Murthy and his colleagues at Infosys, Faqir Chand Kohli of TCS, Azim Premji of Wipro and Shiv Nadar of HCL built it from scratch three to four decades ago. What began in the 1990s as a 'bodyshopping' model—where IT firms sent employees to client sites, mostly overseas—soon added cost-effective back-office operations, and has since morphed into a $282.6 billion (Rs 24.7 lakh crore) behemoth

> "The IT services industry derives its revenues from all the major economies of the world, except probably China. Hence **any perturbation in the global economy will have an impact** on the Indian IT services sector"
>
> **— KRIS GOPALAKRISHNAN**
> *Founder, Infosys; Chairman, Axilor Ventures*



Graphics by TANMOY CHAKRABORTY